Climate Action
& Energy Access

MONTHLY GAS MARKET REVIEW

October 2026

Fewer cargoes, higher prices: is Pakistan's gas system ready for winter?

PUBLISHED NOVEMBER 2026



List of abbreviations

$	US dollars
AKD	AKD Securities
BBTU	Billion British thermal units
CAEA	Climate Action & Energy Access
CNG	Compressed natural gas
CPPA-G	Central Power Purchasing Agency (Guarantee) Limited
DES	Delivered ex-ship
DISCO	Electricity distribution company
ERR	Estimated revenue requirement
FY	Fiscal year (July to June)
GST	General sales tax
GWh	Gigawatt-hour
IMF	International Monetary Fund
LESCO	Lahore Electric Supply Company
LNG	Liquefied natural gas
MEPCO	Multan Electric Power Company
MMBtu	Million British thermal units
MMCFD	Million cubic feet per day
MW	Megawatt
NEPRA	National Electric Power Regulatory Authority
NTDC	National Transmission and Despatch Company
OGDCL	Oil and Gas Development Company Limited
OGRA	Oil and Gas Regulatory Authority
PLL	Pakistan LNG Limited
PMD	Pakistan Meteorological Department
PPL	Pakistan Petroleum Limited
PSO	Pakistan State Oil
RLNG	Re-gasified liquefied natural gas
Rs	Pakistani rupees
SME	Small and medium-sized enterprise
SNGPL	Sui Northern Gas Pipelines Limited
SSGC	Sui Southern Gas Company Limited
Unit	One kilowatt-hour (kWh) of electricity
WAPDA	Water and Power Development Authority (Ex-WAPDA: the DISCOs it formerly ran)

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Highlights

Pakistan pays 274% more on RLNG terminal charges in the wake of Hormuz disruptions. OGRA shows 2 cargoes in October 2026, against 8 a year earlier.[1] Distribution prices rose from $12.23 to $17.33 per MMBtu for SNGPL and from $11.23 to $16.40 for SSGC. The price escalation has rippled across the RLNG consumer chain for most months of the Hormuz crisis. RLNG is Pakistan's double vulnerability: when available, the country has to manage its excess; when not, its share in the electricity basket price, and in prices for other consumers, escalates to detrimental effect.

Pakistan plans about 22 LNG cargoes for November to February: 12 from Qatar and 10 spot.[2] QatarEnergy's force majeure, extended to 29 December, puts the Qatar share at risk.[3] The Pakistan Meteorological Department (PMD) forecasts "a strong tendency toward above-normal temperatures across most parts of the country during November 2026".[4] Imports and demand may not match.

Figure 1: Key facts, October 2026



Source: OGRA; SNGPL; CPPA-G data as reported in the press. Dark blue marks the latest figure.

1. OGRA.
2. Arab News, "Islamabad seeks 24 LNG cargoes as Pakistan braces for winter shortages", arabnews.pk.
3. Pakistan Today, "Qatar LNG squeeze raises fears of winter gas crunch in Pakistan", 1 November 2026, pakistantoday.com.pk.
4. PMD, *Monthly outlook for November 2026*, p. 3, weather.gov.pk.

SECTION 1

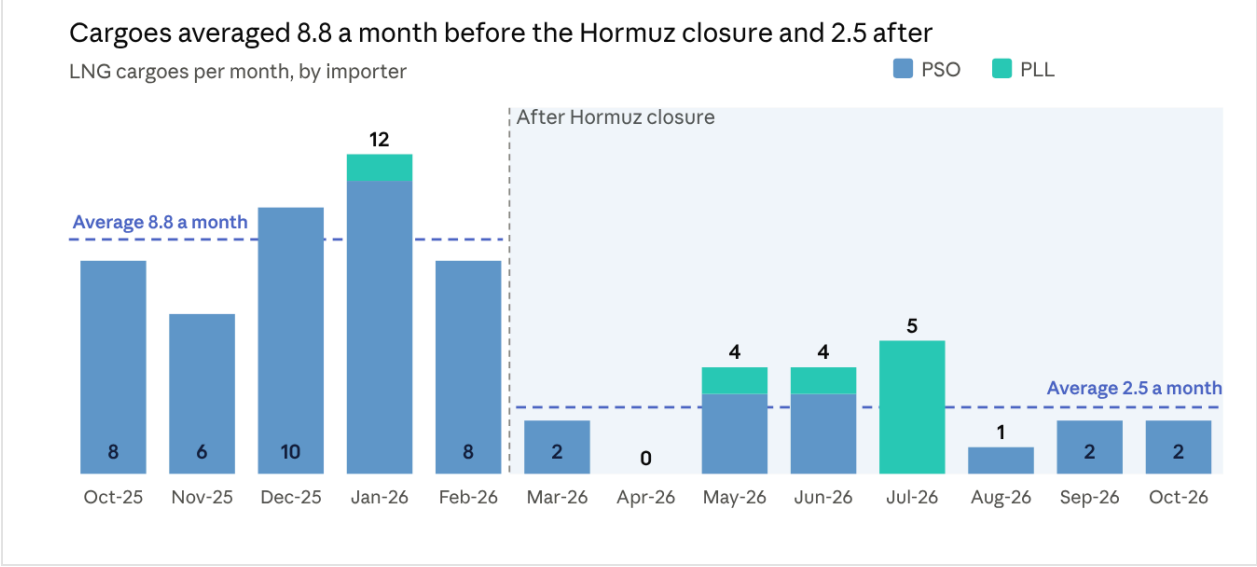
RLNG cargoes and costs

Cargoes fell by more than 70% after the Hormuz closure, and the price now sits 54% above its pre-crisis average.

Cargoes fell by more than 70% after the Hormuz closure

Pakistan received 44 LNG cargoes in the five months to February 2026, or 8.8 a month, and 20 in the eight months since, or 2.5 a month.[5] PLL supplied 7 of those 20 (35%), against 1 of 44 before the crisis, after being dormant for about two and a half years.[6] April had no cargo and no notified price.[7]

Figure 2: LNG cargoes per month, by importer



Source: OGRA.

The price is 54% above its pre-crisis average

SNGPL's price averaged $11.81 per MMBtu from October 2025 to February 2026, and $18.21 in the seven priced months since. September's $15.20 was the lowest since March. October rose to $17.33 as the terminal charge doubled and Brent rose.

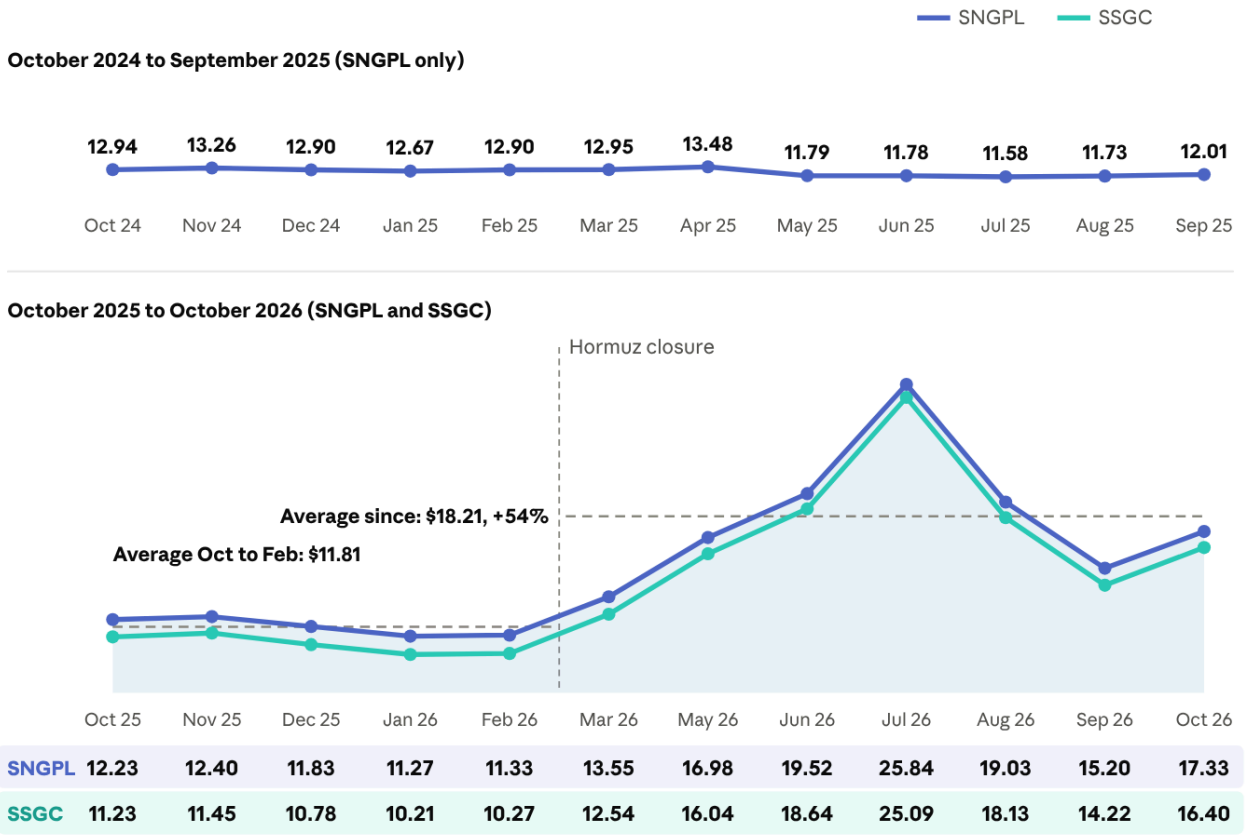
The contract price uses a three-month Brent average: $85.44 a barrel in September's notice (June to August) and $91.22 in October's (July to September), up 6.8%. The two QatarEnergy contracts price LNG at 13.37% and 10.20% of that average.[8] The delivered-ex-ship (DES) price made up $10.74 of SNGPL's $17.33. SSGC's distribution price was $16.40.

5. OGRA.
6. Profit, "OGRA raises RLNG prices by up to 16% for June after costly spot purchases", 6 July 2026, profit.pakistantoday.com.pk.
7. Profit, "Pakistan's RLNG imports fall 27% to lowest level since FY18", 6 July 2026, profit.pakistantoday.com.pk.
8. OGRA.

Figure 3: RLNG distribution price, SNGPL and SSGC ($/MMBtu)

RLNG price is 42% above last October, after peaking at $25.84 in July

Provisional distribution price without GST, $/MMBtu. April 2026 had no notification.



	Oct 25	Nov 25	Dec 25	Jan 26	Feb 26	Mar 26	May 26	Jun 26	Jul 26	Aug 26	Sep 26	Oct 26
SNGPL	12.23	12.40	11.83	11.27	11.33	13.55	16.98	19.52	25.84	19.03	15.20	17.33
SSGC	11.23	11.45	10.78	10.21	10.27	12.54	16.04	18.64	25.09	18.13	14.22	16.40

Source: OGRA.

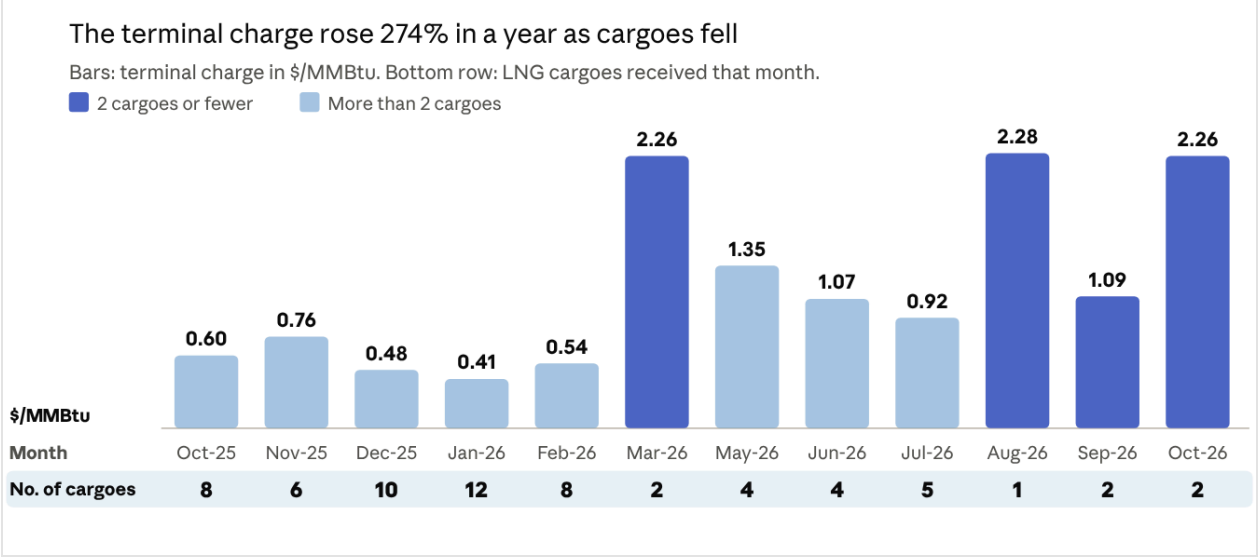
Power bills already show it: NEPRA approved a Rs2.37 per unit fuel adjustment for September, billed in November.[9]

Losses add to the bill. SNGPL and SSGC claimed 551,532 and 756,039 MMBtu as distribution losses, at fixed rates of 8.95% and 12.09% from past determinations.[10] That is $5.9m and $8.1m at the DES price, or $9.6m and $12.4m at the distribution price, adding $1.42 and $1.96 per MMBtu. Each annex applies its rate to the full 6.3 million MMBtu, so these are pricing figures, not measured losses.

9. PkRevenue, "NEPRA raises electricity tariff by Rs2.37 per unit for November 2026 bills", 7 November 2026, pkrevenue.com.
10. OGRA.

Low volumes push up the terminal charge

Figure 4: Terminal charge ($/MMBtu) and cargoes received



Source: OGRA.

The charge peaks when cargoes are fewest, suggesting fixed terminal costs shift to consumers when contracted cargoes go unlifted. October's 2 cargoes (6.3 million MMBtu) carried about $14.2 million in terminal charges, against $3.8 million at last October's $0.60.

Spot cargoes cost far more than contract cargoes

Table 1: Contract (PSO) and spot (PLL) cargo prices, $/MMBtu

Month	Cargoes (PSO / PLL)	PSO DES	PLL DES	Gap	PSO sale price, SNGPL distribution	PLL sale price, SNGPL distribution
January 2026	11 / 1	7.52	7.65	0.14	11.27	11.33
May 2026	3 / 1	9.20	18.40	9.20	14.40	25.41
June 2026	3 / 1	13.14	19.13	5.99	18.97	26.25
July 2026	0 / 5	None	18.98	Not applicable	None	25.84

Source: OGRA.

PSO's price follows Brent with a lag under its Qatar contracts; PLL's reflects spot tenders. The gap shows the premium paid at that moment, not a permanent difference.

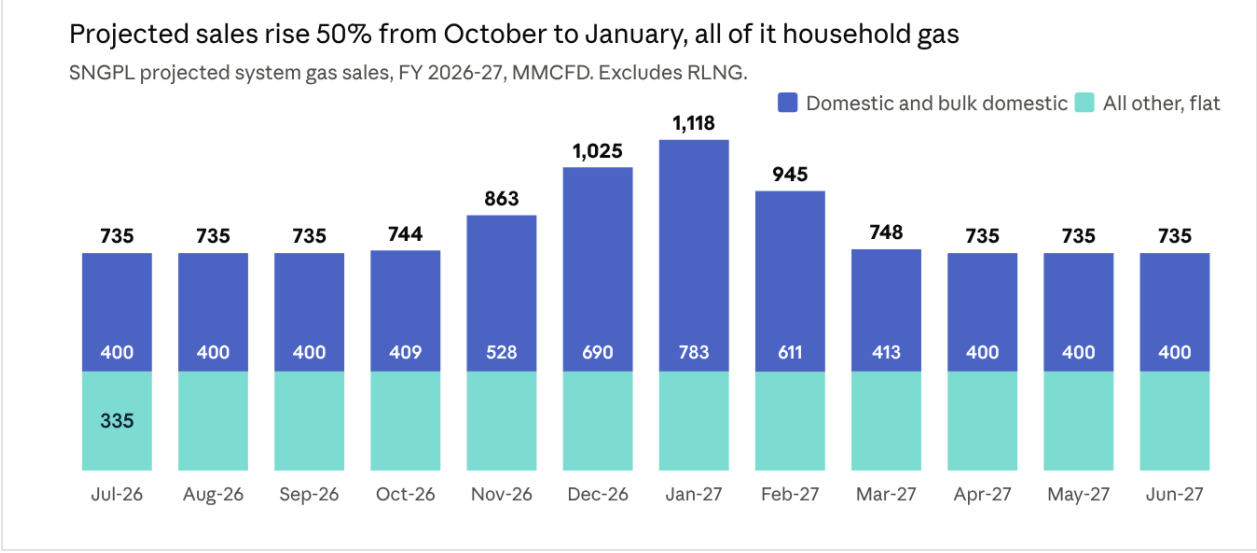
SECTION 2

Gas Projections

SNGPL plans a 50% winter rise driven entirely by households, while OGRA steers extra system gas to process industry.

SNGPL projected gas allocations, FY 2026-27 (MMCFD)

Figure 5: SNGPL projected system gas sales, FY 2026–27 (MMCFD)



Source: SNGPL.

Sales rise 50% from October to January, entirely from domestic use; every other category stays flat all year.[11] Weather could upset this: space and water heating drive the rise, and PMD expects a warmer than normal November. If so, SNGPL will need to cut its winter allocations.

The annual plan diverts more gas to process industry

OGRA's decision sends SNGPL's additional system gas to general industry (process) rather than to RLNG consumers.[12] This matters as captive gas use faces growing IMF scrutiny. Allocating by national priority helps energy management and favours smaller manufacturers that lack captive generation and need gas for their processes. It also signals to investors and SME lenders, as the government pushes banks to offer low-cost loans to smaller exporters.

11. SNGPL.
12. OGRA.

The blend for general industry (process) in Punjab has also moved from 25:75 to 50:50 system gas to RLNG: half their gas, not 75%, is now billed at the RLNG price, easing manufacturers' bills.[13] SNGPL credits this lower price for the projected rise in process-industry sales.

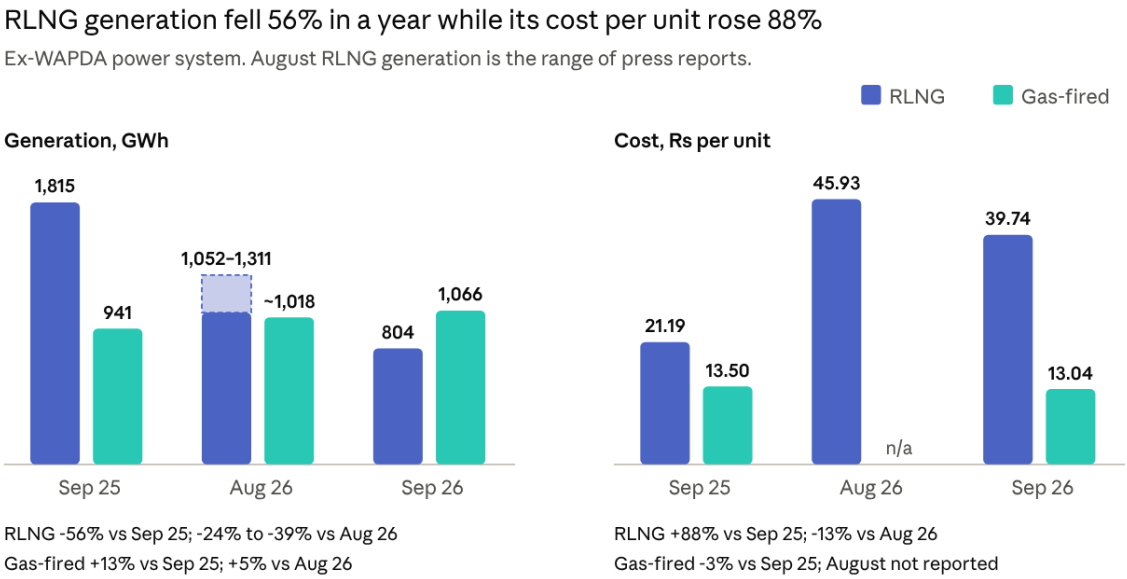
Table 2: SNGPL sales to general industry (process), BBTU

Category	FY 2024-25 final	FY 2025-26 revised	FY 2026-27 petition	Petition vs FY 2025-26
General industry, process	12,804	13,975	25,389	+82%

Source: OGRA.

RLNG generation down, cost up

Figure 6: RLNG and gas-fired power: generation and cost per unit



Source: CPPA-G data as reported in the press.

RLNG generation fell 56% from September 2025, cutting its share to 6.08%, while its cost per unit rose 88%.[14] Against August it was 13% cheaper (Rs39.74 against Rs45.93) but still 3 times the cost of gas-fired power. This exposes Pakistan's dependence on an imported, interruptible fuel: losing it in peak winter would do far more harm than a dip in generation.

Policy must move from dangerous, interruptible fossil fuels to cheaper local solar and wind, which serve electrification of industry and of household appliances such as geysers and heaters far more cheaply.

> August RLNG generation differs by report: 1,311 GWh,[15] 1,052 GWh,[16] or about 1,227 GWh from an 8.48% share, which also implies about 1,018 GWh gas-fired.[17]

13. OGRA.
14. Business Recorder, September 2025 generation data, brecorder.com/news/40388637; The Express Tribune, "Discos seek Rs2.6/unit hike for Sept", tribune.com.pk.
15. The Express Tribune, "Discos seek Rs1.7 raise in power tariff", tribune.com.pk.
16. ProPakistani, "Electricity generation becomes more expensive in August", 21 September 2026, propakistani.pk.
17. The Express Tribune, "Power tariff hike may add Rs29.5b burden", tribune.com.pk.

SECTION 3

RLNG power plants

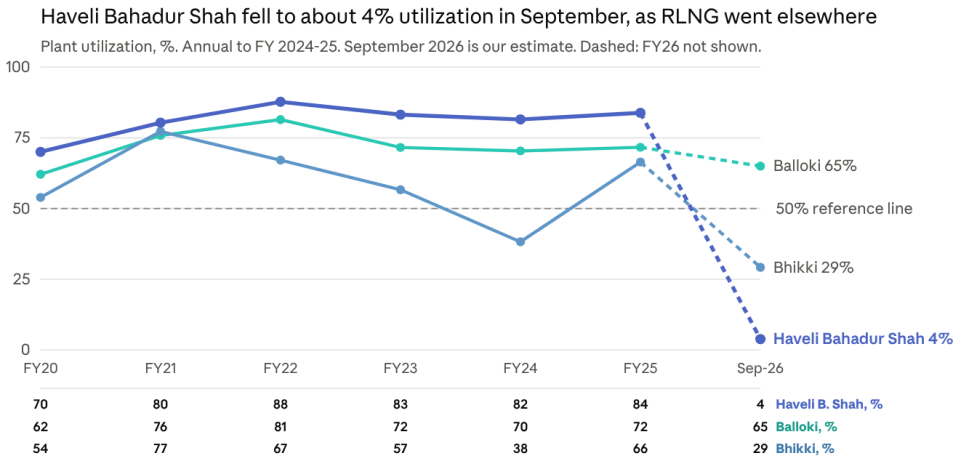
Reported RLNG use by power plants was 55% of stated demand in September.

Reported RLNG use was 55% of power-sector demand in September

At the NEPRA hearing, sector demand was put at 350 MMCFD, with 218 supplied and 194 consumed: 55% of the stated demand and 89% of the allocation.[18] This is not a take-or-pay result, as the 50% minimum applies to committed volumes, and this month's commitment is not public.[19]

In September, lower RLNG use reflected the gas supplied rather than weak plant demand. Earlier, the power sector had taken less RLNG than it committed: 396 of 550 MMCFD (72%) in June 2025, and 122 MMCFD in February 2026.[20]

Figure 7: RLNG plant utilization (%)



Source: NTDC; NEPRA SOI; CAEA estimate (September 2026).

18. The Express Tribune, "NEPRA to decide on Rs2.56 hike", tribune.com.pk.
19. Business Recorder, "Short on commitment with SNGPL, power sector uses 28pc less RLNG", brecorder.com.
20. Profit, "Local gas curtailment rises to 350 MMCFD as RLNG offtake drops", 28 February 2026, profit.pakistantoday.com.pk.

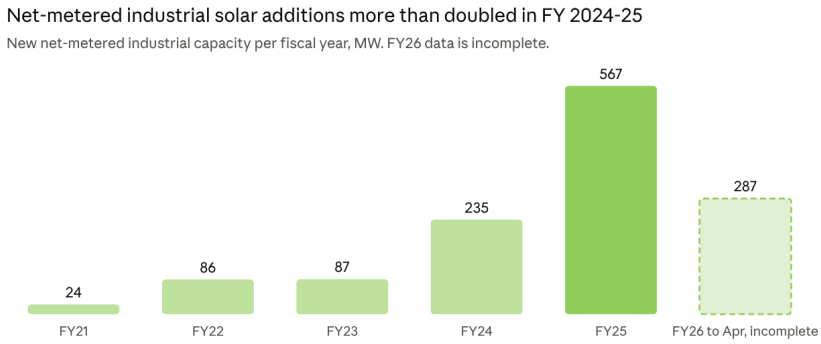
SECTION 4

Solar and industrial shift

Net-metered industrial solar has reached about 1,300 MW, and large exporters report substantial solar additions.

Net-metered industrial solar reached about 1,300 MW

Figure 8: New net-metered industrial solar capacity per fiscal year (MW)



Source: Provisional calculation of net-metering data by CAEA.

Additions grew from 235 MW in FY 2023–24 to 567 MW in FY 2024–25, then stayed near 118 to 151 MW a quarter through 2025. The largest identified groups are miscellaneous industrial establishments (336 MW), flour (191 MW), rice (169 MW), ice and cold storage (151 MW) and textile (118 MW). MEPCO leads by DISCO with 360 MW, followed by LESCO (253 MW) and K-Electric (197 MW).

The top 45 textile exporters report about 470 MW of solar at 39 firms, against 118 MW across all cleaned textile licences, so licence data misses much of the solar at large mills.

The latest disclosure in our tracker: Masood Textile reported 6.2 MW operational and 3.8 MW under installation in August 2026.[21] These additions will translate into reductions in both gas and electricity offtake at the large-industry level. With reports of battery installations, a shift away from the power grid within some major industrial settings is in sight.

Table 3: Largest reported solar capacity among textile exporters (MW)

Sapphire	Nishat Mills	Kohinoor Textile Mills	Yunus Textile Mills	Lucky Textile Mills	Gul Ahmed Textile Mills
63.7	43.0	35.0	25.3	23.0	20.0

Source: CAEA compilation of exporters' disclosures.

21. Business Recorder, "Masood Textile successfully operationalizes solar capacity", brecorder.com.

SECTION 5

Glimpses from National Gas Plans

OGRA allowed half of SNGPL's RLNG financing claim, and the circular debt plan covers less than half of the stock.

OGRA allowed only half of SNGPL's RLNG financing claim

SNGPL sought to recover Rs18,535 million in finance cost on Rs165,000 million of working capital through monthly RLNG prices, citing unpaid RLNG diversion, export, fertilizer and power receivables. OGRA allowed Rs9,267 million, citing better recoveries since November 2023, subject to an auditor's certificate that the claim covers only legitimate circular-debt and diversion costs.[22]

Whatever financing OGRA allows is added to the monthly RLNG price, so sector non-payment lands on RLNG users.

Table 4: SNGPL balance sheet, 30 September 2025 (Rs billion)

Item	Rs billion
Trade debts	240.3
Payable to PSO	293.6
Payable to PPL, OGDCL and others	1,010.3
RLNG tariff adjustment receivable	356.3

Source: SNGPL.

The circular debt plan covers less than half of the stock

The Petroleum Division's August plan would clear Rs1.49 trillion of Rs3.6 trillion in gas circular debt (Rs1.8 trillion principal, Rs1.7 trillion late-payment surcharge).[23] The Petroleum Division reportedly intends to raise Rs590 billion of that from fewer LNG cargoes and from displacing LNG with local fossil gas. However, it remains to be seen whether winter LNG procurement reduces the prospects for such revenue raising.

22. OGRA.
23. The Express Tribune, "Ministry unveils debt clearance plan", tribune.com.pk.

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2. SNGPL.
3. NEPRA SOI.
4. PMD. *Monthly outlook for November 2026*.

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6. CAEA. Solar disclosures of the top 45 textile exporters (compiled dataset).
7. CAEA. RLNG power plant data compiled from NTDC.

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Monthly Gas Market Review is a recurring CAEA publication tracking LNG supply, gas prices, allocation and the shift to solar in Pakistan. Figures from OGRA's monthly notifications are provisional and may be revised.

Suggested citation

Climate Action & Energy Access (2026). *Monthly Gas Market Review: October 2026*. November 2026.

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